Labor Code §3853 provides that if either the employee or the employer brings a workers' compensation subrogation action against a third person, "the other [employee or employer] may, at any time before trial on the facts, join as party plaintiff or shall consolidate his action, if brought independently." (Labor Code §3853.)

A complaint in intervention filed by an employee is timely even when filed after the expiration of the statute of limitations if the employers complaint was filed within the applicable limitations period. (See *Home Ins. Co. v. Southern Cal. Rapid Transit District* (1987), 196 Cal.App.3d 522). Intervenors assert that Plaintiff Corona Norco Unified School District filed their complaint within the statute of limitations.

A motion to intervene must be accompanied by a proposed complaint in intervention. (Weil & Brown, Cal. Practice Guide: Civil Procedure Before Trial (The Rutter Group 2022) §2:443.) Intervenors properly submitted their proposed complaint in intervention alleging a single cause of action for negligence against Defendant Schindler arising out of the same injuries at issue in Plaintiff's subrogation action.

3.

CASE #	**CASE NAME**	**HEARING NAME**
CVRI2506170	QUTAMI vs ALHARBI BROTHERS, INC.	DEMURRER ON 2ND AMENDED COMPLAINT
CVRI2506170	QUTAMI vs ALHARBI BROTHERS, INC.	MOTION TO STRIKE 2ND AMENDED COMPLAINT

Tentative Ruling: Defendant Alharbi Brothers, Inc.'s Demurrer is sustained in its entirety with 20 days leave to amend.

Defendant Alharbi Brothers, Inc.'s Motion to Strike is granted as to prayer only; denied as to the remainder.

REQUESTS FOR JUDICIAL NOTICE

Defendant requests judicial notice of: (1) The Order Granting Petition to Confirm Arbitration Award and Entry of Judgment, entered on 3/17/25, in Alharbi Brothers, Inc. v. Corona Town Farmers Market, Inc. et al. (CVRI 2300681) (RJN Ex. A); and (2) the Cross-Complaint in Fruiticana, Inc. v. Ahmad F. Qutami et al. (CVRI 2404120) (*Id.*, Ex. B.) Both are court records. Evid. Code section 452(d).

DEMURRER

A general demurrer lies where the pleading does not state facts sufficient to constitute a cause of action. (Code Civ. Proc. § 430.10(e).) In evaluating a demurrer, the court gives the pleading a reasonable interpretation by reading it as a whole and all of its parts in their context. (*Moore v. Regents of University of California* (1990) 51 Cal.3d 120, 125.) The court assumes the truth of all material facts which have been properly pleaded, of facts which may be inferred from those expressly alleged, and of any material facts of which judicial notice has been requested and may be taken. (*Crowley v. Katleman* (1994) 8 Cal.4th 666, 672.) However, a demurrer does not admit contentions, deductions or conclusions of fact or law. (*Daar v. Yellow Cab Company* (1967) 67 Cal.2d 695, 713.) If the complaint fails to state a cause of action, the court must grant the plaintiff leave to amend if there is a reasonable possibility that the defect can be cured by amendment. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.)

A breach of contract cause of action requires: (1) a contract, (2) performance by plaintiff under the contract or excuse from performance, (3) breach of the agreement by the defendant, and (4) an injury to plaintiff due to the breach. (*Abdelhamid v. Fire Insurance Exchange* (2010), 182 Cal.App.4th 990, 999.) "[T]he existence of a contract is a necessary element to an action based on contract, regardless whether the plaintiff seeks specific performance or damages for breach of contract." (*Roth v. Malson* (1998) 67 Cal.App.4th 552, 557.) Offer, an unqualified and absolute acceptance, and consent are all required for the formation of a contract. (*Id.*; *Alexander v. Codemasters Group Limited* (2002) 104 Cal.App.4th 129, 141.) "To form a contract, an 'offer must be sufficiently definite . . . that the performance promised is reasonably certain.'" (*Alexander, supra*, 104 Cal.App.4th at 141.)

In the present case, Defendants argue that no enforceable oral contract was formed to split the $1.7 million arbitration award. They argue that the SAC describes only an oral agreement to co-manage a property that was "contingent upon successful eviction" of a tenant (SAC ¶ 15), and that eviction never occurred.

Contract Formation

The SAC alleges that in March 2022, Plaintiff Qutami and Defendant Alharbi Brothers entered into a verbal agreement to become business partners under a "50/50 ownership arrangement… contingent upon successful eviction of Mr. Ali." (SAC ¶ 15.) The primary purpose of this partnership was to "jointly take over and manage" the supermarket and "divid[e] all profits on a 50/50 basis." (*Id.*, ¶¶ 21, 24.) However, the SAC also admits that "a procedural error in the service of process caused the eviction case to be dismissed," and that "the landlord ultimately declined to refile." (*Id.*, ¶ 15.)

In contract law, "a condition precedent is either an act of a party that must be performed or an uncertain event that must happen before the contractual right accrues or the contractual duty arises." (*Realmuto v. Gagnard* (2003) 110 Cal.App.4th 193, 199.) In other words, the contractual duty subject to a condition precedent does not arise until the condition occurs. (*Ibid.*) Here, since the eviction case is dismissed, the condition precedent was never satisfied, and that the agreement to co-manage or split operational profits never came into being.

Plaintiffs counter that there is an alleged fallback provision. They argue that in the event that the eviction failed, Defendant "would bring an action for specific performance and/or damages." (SAC ¶ 25.) The SAC further alleges that Defendant performed this fallback term by prosecuting the arbitration action. (*Id.*, ¶ 26.) However, the agreement terms set forth in the SAC (*Id.*, ¶¶ 21-25) contain no agreement to split the arbitration proceeds. The statement in paragraph 27 that the 50/50 arrangement "included any funds collected from the arbitration" (*Id*., ¶ 27) is unclear and is contradicted by the specific terms of the agreement as pled under paragraph 24, which states that the 50/50 split is limited to the profits arising from the "co-manage[ment] and rent [of] the property" (*Id*., ¶ 24.) Here, the oral agreement as pled is not sufficiently clear to show an obligation to divide the arbitration award.

A contract also requires consideration. (Civ. Code, § 1550.) Consideration must "be given in exchange for the promise. Past consideration cannot support a contract." (*Passante v. McWilliam* (1997) 53 Cal.App.4th 1240, 1247.) Here, as pled, the SAC alleges that "[f]ollowing the award," the parties "agreed that the arbitration award should be split equally." (SAC ¶ 16.) As framed, the assertion is incomplete as to consideration. In opposition, Plaintiff Qutami counters that he provided "ongoing assistance, financial analysis, and evidentiary support for the litigation-services beyond the scope of the original listing agreement," which constitutes sufficient consideration. However, it appears that these litigation support efforts were performed *prior* to the post-arbitration award discussion. In other words, the alleged agreement to divide the arbitration award appears to rest on past consideration. Past consideration cannot support a contract.

The court need not reach the other arguments, such as the statute of frauds, illegality, and public policy.

Standing

"Every action must be prosecuted in the name of the real party in interest." (Code Civ. Proc., § 367.) The SAC alleges that the verbal agreement was entered into solely between "plaintiff QUTAMI and defendant ALHARBI BROTHERS." (SAC ¶ 21.) Plaintiff Pacific Premier is not alleged to be a party to the agreement or a beneficiary. Accordingly, Pacific Premier lacks standing to sue. The court sustains the demurrer as to Pacific Premier on this additional independent ground.

MOTION TO STRIKE

A motion to strike may be applied to any irrelevant, false or improper matter, or any pleading not drawn or filed in conformity with the laws of the state, court rule, or court order. (Code Civ. Proc., § 436.) The grounds must appear on the face of the pleading or judicial notice. (*Id.* at § 437.)

Defendant moves to strike attorney's fees (prayer ¶ 3), counsel allegations (¶¶ 15, 18, 20), and exhibit characterization (¶ 17).

"Except as attorney's fees are specifically provided for by statute, the measure and mode of compensation of attorneys and counselors at law is left to the agreement, express or implied, of the parties." (Code Civ. Proc., § 1021.) The SAC alleges an oral agreement and pleads no terms for attorney's fees. Nor did it plead any statutory fee provision. The prayer for fees is unsupported. The court grants the motion to strike prayer ¶ 3.